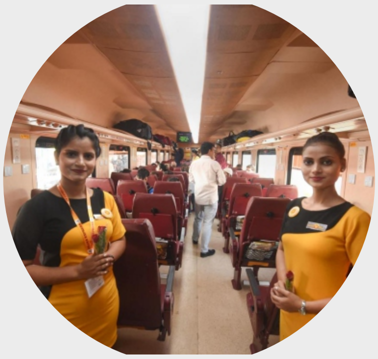
Initating Covearage

DALAL & BROACHA
STOCK BROKING PVT. LTD.

This is one train you should not miss

IRCTC



508, Maker Chambers V,
221 Nariman Point, Mumbai 400 021.
91-22- 2282 2992, 2287 6173
research@dalalbroachaindia.com,
equity.research@dalal-broacha.com

Mayank Babla
Senior Analyst
022-67141412
mayank.babla@dalal-broacha.com

Indian Railway Catering & Tourism Corp.

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

INITIATING COVERAGE | Internet & Consumer

Book your tickets because this is one train you should not miss

April 28, 2021

IRCTC is a central public sector enterprise operating in 4 segments, namely Internet Ticketing, Catering, Packaged Drinking Water (Rail Neer) and Travel & Tourism. Major potential is expected to unwind as travel resumes in all the segments as the company is managed in a quasi private method and it is a pure monopoly in Internet Ticketing and Rail Neer.

What is IRCTC a long-term compounder?

Internet ticketing will offer the biggest value unlocking through

- **Convenience Fees:**
  1. Tickets booked per day bounce-back and surpass its pre-COVID normal (8 lacs per day) as unreserved General class is converted to reserved and travelers go into “Revenge Travel Mode” after COVID
  2. Realizations improve from INR 17.3 to INR 21.5 in FY23e as 1) Travel pattern shifts from ‘necessity’ to ‘Leisure’, therefore mix of higher income non-suburban travelers book more AC coaches,
  3. 35% of the General Class tickets are shifted back to Unreserved
  4. Higher number of AC coaches are introduced
- **Non-Convenience Fees:**
  5. Advertising income: IRCTC has massive inventory in the form Website space, App space, on and inside trains, Infotainment systems (on Tejas trains), Food plazas, etc which it can monetize aggressively and potentially double its revenue from ads (INR 100 Mn as of Q3FY21) over the next 2 years
  6. Financial Transactions: IRCTC reported INR 230-240 Mn from Financial transactions in Q3FY21 and INR 170-180 Mn in FY20. Through its payment gateway “iPay” and wallet “iMudra”, this segment has the potential to grow more than 2x-3x in the next 2-3 years as travel resumes and the wallet and payment gateway are expanded to other Ministries and with more co-branded credit cards

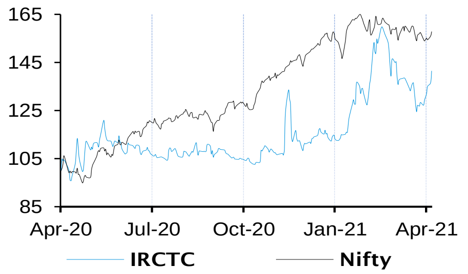
Rating	TP (Rs)	Up/Dn (%)
BUY	2676	49

Market data

Current price	**Rs**	**1,795**
Market Cap (Rs.Bn)	(Rs Bn)	287
Market Cap (US$ Mn)	(US$ Mn)	3834
Face Value	Rs	10
52 Weeks High/Low		Rs 2073/1190
Average Daily Volume	('000)	897
BSE Code		542830
Bloomberg		IRCTC:IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-21	Dec-20
Promoters	67.40	67.40
FII	8.17	8.38
DII	10.34	7.68
Others	14.10	16.55
Total	**100**	**100**

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY18	FY19	FY20	FY21E	FY22E	FY23E
Net sales	14,712	18,682	22,755	7,506	23,087	36,090
EBITDA	2,911	3,807	7,134	1,690	7,764	13,871
EBITDA Margin (%)	20%	20%	31%	23%	34%	38%
EBIT	2,674	3,521	6,735	1,313	7,336	13,355
EBIT Margin (%)	18%	19%	30%	17%	32%	37%
Adjusted Net Profit	2,186	2,685	5,275	1,395	5,969	10,699
Free Cash flow	856	4,674	3,724	536	3,823	8,269
EPS (Rs)	53.6	16.8	33.0	8.7	37.3	66.9
growth (%)	1%	-69%	96%	-74%	328%	79%
P/E (x)	33	94	54	158	48	27
EV/EBITDA (x)	22	72	38	161	35	19
ROCE (%)	26.3	31.1	46.0	8.4	37.1	50.4
RoE (%)	25.5	30.4	44.1	13.0	36.1	49.5
Dividend yield (%)	1.2	0.4	0.7	0.1	0.8	1.5

Source: Company

Mayank Babla
(022) 67141449
mayank.babla@dalal-broacha.com

Timshar Dhamodiwala
(022) 67141449
timshar.dhamodiwala@dalal-broacha.com

- **Catering**
  1. Static Catering business will see major unwinding as renewed prices are implemented post-COVID which involves almost a 60% jump in meals offered on Rajdhani, Shatapdi and Duronto Express.
  2. E-Catering: IRCTC covers 353 stations and offers 21,571 average daily meals. Management is aggressively doubling down on e-catering business with more Food brand partnerships and higher coverage of stations
  3. Mobile Catering: IRCTC plans to improve its reach of catering through Train Side Vending, more trains with Pantry Cars and Base Kitchens
- **Rail Neer – pure monopoly in packaged drinking water on Railways**
  1. IRCTC is the only authorized entity to manufacture and distribute packaged drinking water at all railway stations and trains under the brand "Rail Neer". There are 14 operational plants with a capacity stands at 1.4 Mn bottles per day (bpd) which is expected to expand to 2.8 Mn bpd by FY22 end
  2. Volumes will see massive growth as capacity expands and IRCTC reaches more stations
  3. Expect operating leverage to play out as utilization improves as majority of plants are commissioned in the last 3 years and 4 more plants are expected to be commissioned in the current fiscal (Capacity utilization is Year 1: 15-16%, Year 2: 70-75% and Year 3: 90-100%).

Valuation and Outlook

IRCTC is a pure monopoly business in 2 out of its 4 operating segments, namely Internet Ticketing and Rail Neer. Internet Ticketing segment can be compared to the Aviation Industry's Global Distribution System of India's Railway Industry as IRCTC earns Service charges regardless of the booking platform / agency. Non-convenience income holds hidden potential and is a big kicker in the Internet Ticketing Space. Rail Neer is a volume game as manufacturing capacity increases coupled with margin expansion as operating leverage plays out. Catering segment will see the benefit of volumes through higher Train Side Vending, e-Catering, Food Plazas, Fast Food Units and Jan Ahaars and benefit of pricing as revised prices (in Circular of 2019) are implemented post-COVID.

We expect consolidated EBIT margins to expand from 30% in FY20 to 37% in FY23e on the back of higher proportion of tickets booked online (72% as of FY20 and 92% in COVID times) in a post COVID world, disproportionate rise in non-Convenience income, better pricing in Catering and operating leverage playing out in Rail Neer.

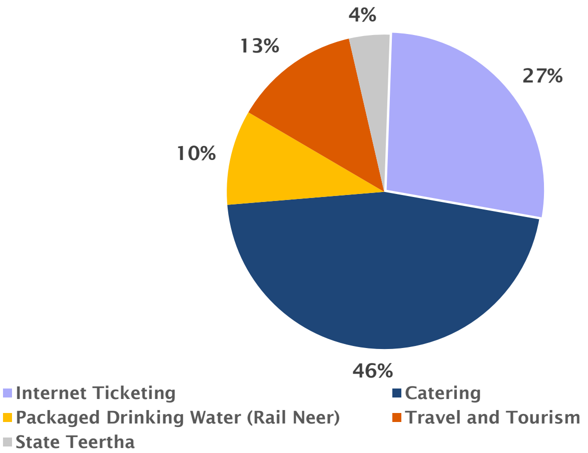
IRCTC is currently trading at 48x / 27x FY22e / FY23e. We strongly believe this stock to be a long-term compounder and we apply 2 scenarios for its target price

Scenario	Comments	P/E Multiple	FY23e EPS	Target
Base	**As is**	**40x**	**66.9**	**2,676**
Blue Sky	Higher catering prices, higher than expected tickets bpd, PPP playing out in Travel & Tourism and introduction of DFC unwinding Passenger Trains potential + Monopoly Status Valuations	60x	73.6	**4,416**

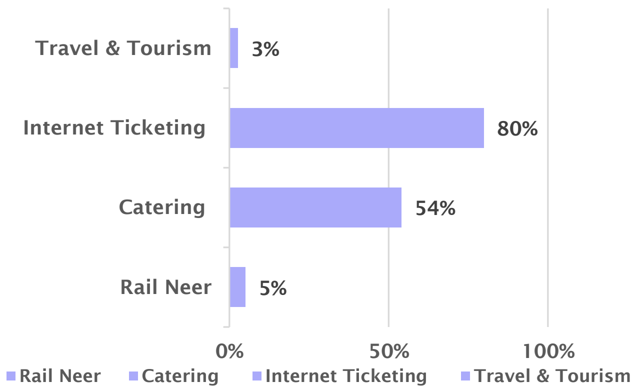
Company Overview

- A Central Public Sector Enterprise having 67.4% stake by the Government of India and under the administrative control of the Ministry of Railways
- Conferred the status of Mini-ratna (Category-I Public Sector Enterprise) by the Government of India, on May 1, 2008.
- IRCTC is the only entity authorized by Indian Railways to provide online railway tickets, catering services to railways and packaged drinking water at railway stations and trains in India
- The company operates in 4 segments: namely
  4. Internet Ticketing (27% of revenue)
  5. Catering (46% of revenue)
  6. Rail Neer (Packaged Drinking Water) (10% of revenue)
  7. Travel & Tourism (17% of revenue)

Revenue Break-up (as of FY20)



Segment-wise EBIT Margin (FY20)



Source: Company, D&B Reseach

Business Description

	Internet Ticketing	Catering	Rail Neer (PDW)	Travel & Tourism
Business description	• Offers ticket booking services through website and mobile application • Over 301mn tickets booked through IRCTC's platform in FY20 • Offers value added services like e-wallet and loyalty scheme through a co-branded credit card	• Mobile catering services on-board 417 trains through pantry or base kitchens • Static catering services at Jan Ahars, cell kitchens, food courts and refreshment rooms at railway stations • E-catering services allowing passengers to order food from partner restaurants and food outlets	• 14 operational plants across India with capacity of 1.4mn bottles per day • Operates 1,926 water vending machines at 685 stations • Produced 275mn bottles in FY20	• Offers domestic and international tour packages, hotel bookings, car rentals, air ticketing, educational tours, charter train packages and cruise packages • Operates special tourist trains like ,Buddhist Circuit, Bharat Darshan and theme based tourist trains • Operates Luxury trains like Maharaja Express and Golden Chariot

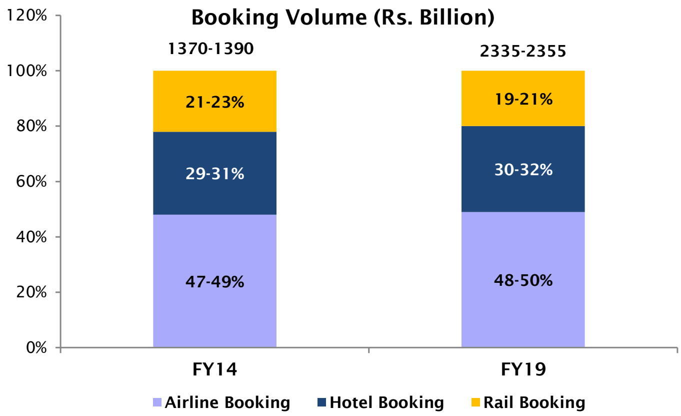
Source: Company Presentation, D&B Reseach

Investment Rationale (Segment-wise)

Internet Ticketing

[Internet Ticketing contributed 27% to FY20 revenue and 71% to FY20 EBIT]

The Indian booking industry was estimated at ₹ 1,370-1,390 Bn in FY14. On account of strong growth in domestic tourism and inbound tourism, the *Indian booking industry* grew at a CAGR of 11-12% to reach ₹ 2,335-2,355 Bn in FY19. Internet penetration in India at 49.9% as of FY19 (96% through wireless broadband) and expected to increase to 62% by FY24. Booking services across travel segments have undergone a dramatic change over the past five years thanks to increased internet penetration, greater affordability of smart phones, user friendliness of online platforms, convenience in terms of comparison and varied modes of payment offered (credit cards, debit cards and net banking) and faster pace of service providers adopting digital platforms for their respective businesses. The share of e-booking, made via captive websites/applications of the service providers or through online travel agencies (OTAs), in the Indian booking industry has substantially increased from 35-40% as of FY14 to 53-57% as of FY19. The *Indian e-booking industry* has grown strongly at a 20-21% CAGR to reach ₹ 1,300-1,320 billion as of FY19.

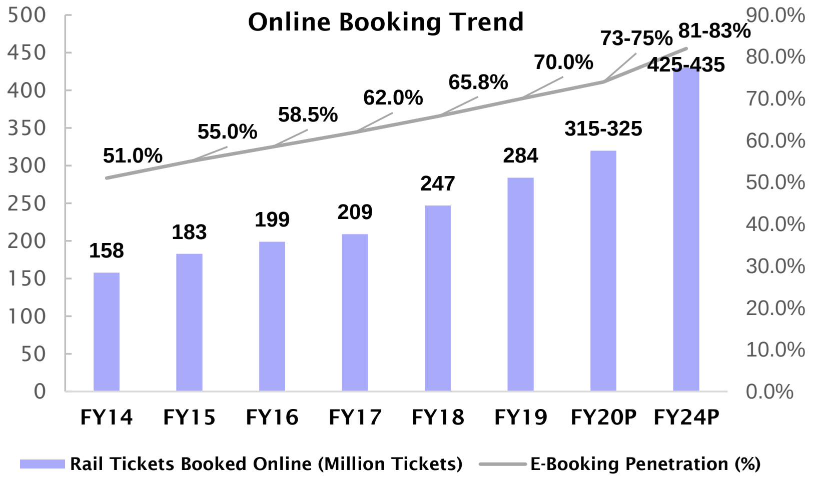


- **Airline booking formed 47-49%** of Indian booking industry as of FY14. Its share inched up to 48-50% as of FY19 due to strong growth in airline booking on account of improvement in connectivity, increasing affordability of air travel, and rising incomes and inclination for air travel among travellers.
- **Hotel bookings** slightly increased its share from 29-31% in FY14 to 30-32% in FY19 on account of healthy growth in domestic tourism, higher spending on travel, and increasing availability of options at competitive prices due to emergence of OTAs and aggregators.
- **Rail booking** lost share in overall booking industry from 21-23% in FY14 to 19-21% in FY19, even as some of the train travelers shifted towards air travel, especially with extension of airline connectivity to some cities, even as rail booking grew at a moderate pace.

Outlook

Indian e-booking industry to grow at 16-18% CAGR from fiscals 2019 to 2024 to reach ₹ 2,830-2,850 billion by fiscal 2024

E-booking penetration in railway bookings estimated at 70% in FY19



and is expected to go up to 83% by FY24…

[*Side Note:* *Internet Booking as a % of overall had inched up to 92% during COVID times***]**

The growth in number of online rail bookings slightly slowed down between FY14 and FY17 due to moderation in online bookings as well as levying of service charge of ₹ 20 per ticket and ₹ 40 per ticket for Non- AC and AC classes respectively. This was in line with slowing growth in rail bookings on account of a shift towards air travel due to improving connectivity between major cities and rising share of low-cost carriers offering affordable airfares. As a result, online rail bookings reached ~209 million in fiscal 2017, even as e-booking penetration improved to 62%. **Between fiscals 2014 and 2019, online rail bookings have registered a ~12.5% CAGR to reach ~284 million, with e-booking penetration rising to *68-70% in FY19 – this will rise as a result of pandemic effect***

Competitive Assessment

Key Players in Online Ticketing Agency (OTA)

Companies	Major Offerings	Incorporation Date	Registered Office Location	Headquarter Location
Online Ticketing				
Indian Railway Catering & Tourism Corporation Limited (IRCTC)	Online travel bookings, leisure tours (Domestic & International), Catering, Packaged Drinking Water	1999	New Delhi	New Delhi
ClearTrip Private Limited	Online travel bookings	2005	Mumbai	Mumbai
MakeMyTrip Limited	Online travel bookings	2000	Mauritius	Gurugram
Yatra Online, Inc	Online travel bookings	2005	Cayman Islands	Gurugram
Tours & Travels				
International Travel House Limited (ITH)	Leisure Travel: Domestic & International	1981	New Delhi	Gurugram
Thomas Cook Limited (TC)	Leisure Travel: Domestic & International	1978	Mumbai	Mumbai

Source: IRCTC RHP, CRISIL Research, D&B Research

Key Segments of OTAs

Players	Flights		Hotels		Holiday Packages		Trains	Buses		Cabs	
	Domestic	International	Domestic	International	Domestic	International		Private	State Transport		Others
Cleartrip Pvt. Ltd.	✔	✔	✔	✔	✔	✔	✔				✔
Indian Railway Catering & Tourism Corporation Limited (IRCTC)	✔	✔	✔		✔	✔	✔				✔
MakeMyTrip Limited	✔	✔	✔	✔	✔	✔	✔	✔	✔	✔	✔
Yatra Online, Inc	✔	✔	✔	✔	✔	✔	✔	✔	✔		✔

	International Tours & Travel (Leisure)	Domestic Tours & Travel	Independent Travel Options for Leisure Travels	Business Travel Solutions	Online Air Ticketing	Hotel Bookings	Visa / Passport Facilitation	Online Foreign Exchange	Car Rental	MICE
Thomas Cook Limited (TC)	✔	✔	✔	✔	✔	✔	✔	✔		✔
Cox & Kings Limited (C&K)	✔	✔		✔	✔		✔	✔	✔	✔
Indian Railway Catering & Tourism Corporation Limited (IRCTC)	✔	✔	✔		✔	✔				
International Travel House Limited (ITH)	✔	✔	✔	✔				✔	✔	✔

Source: IRCTC RHP, CRISIL Research, D&B Research

IRCTC offers ticket booking services through its website and mobile app with over 301 Mn tickets booked in FY20. The revenue model in the train ticket booking segment is a monopoly whereas booking services in Bus and Air tickets have an optionality.

Internet Ticketing largely has 2 revenue sources – Convenience Fees and Non-convenience fees (through advertisements and commission on financial transactions)

For train tickets, IRCTC charges a service charge of INR 15 for non-AC (sleeper) class and INR 30 for AC tickets booked through its website or, for that matter, any other portal (MakeMyTrip, Cleartrip, etc. as train ticketing is eventually routed to its website). For payments through BHIM and UPI, a convenience fee of INR 10 and INR 20 is charged.

Value added services such as e-wallet and loyalty scheme through a co-branded credit card also form part of Internet Ticketing.

Growth drivers in this segment are: 1. Higher volumes from shifting of ticket booking from Offline to Online 2. Higher realizations due to shift from non-AC to AC coaches and 3. Better website monetization

Convenience Fees

Higher volumes from shifting of ticket booking from Offline to Online

During the pre-COVID times, online to offline ratio of (reserved) ticket booking stood at 72:28 which increased to 92:8 during COVID. Taking pre-COVID ratio as the equilibrium, we believe that there is a significant upside from 72% online ticket bookings as the pandemic has expedited this shift to digital and it is not only more comfortable but more hygienic and efficient.

Higher realizations due to shift from non-AC to AC coaches

As a general rule, approximately 67% of the tickets booked in reserved class are non-AC (sleeper) class tickets and 33% of tickets booked in reserved class are AC class. However, during COVID, IRCTC shifted the Unreserved 2S (General Bogie) category to Reserved category – which also formed part of ticket bookings in Q3FY21. Therefore, the mix changed from 67:33 (Non-AC:AC) to 23:47:30 (non-AC:AC:2S).

Following is the service charge structure per ticket booked:

Non-AC: INR 15

AC: INR 30

Under BHIM and UPI

Non-AC: INR 10

AC: INR 20

Realizations to bounce-back to pre-COVID levels

2S is a general class which has been shifted from Unreserved to Reserved category due to the pandemic and majority of the ticket bookings in this segment are online and through UPI and BHIM (rates above).

As a result of this phenomenon, in Q3FY21, blended realization from ticket bookings stood at INR 17.3 compared to INR 20.5 which was the pre-COVID normal rate.

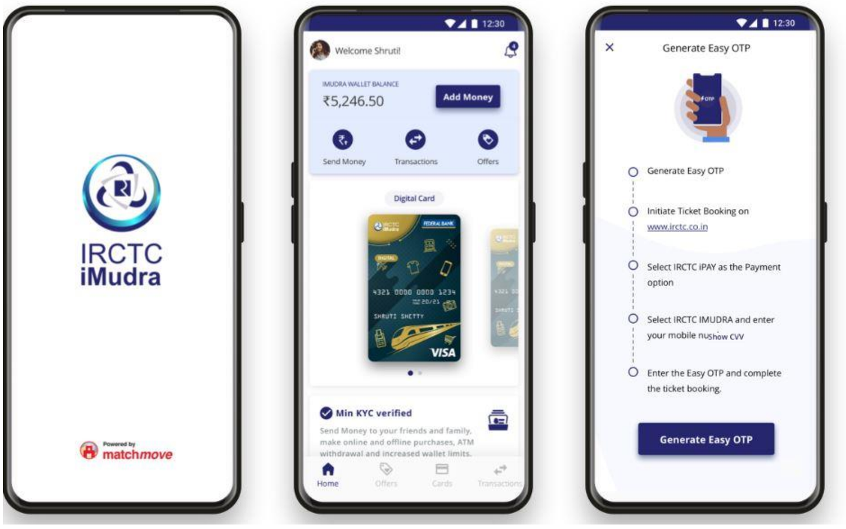
We expect realizations to gradually return to pre-COVID levels gradually as a result of following triggers:

- Vaccines are rolled out aggressively and lockdowns recede by Q2FY22. Due to the pandemic, the demographics of train travel had changed. Trains were largely used by travelers from Tier 3 cities and Villages as daily wage earners and blue-collar jobbers returned home. Additionally, 'traveling' – as an activity – shifted from 'for leisure' to 'necessity'. This resulted in bookings shifting from AC to non-AC and General Class. We believe that this phenomenon will reverse back to normal if not double up in a post COVID world as the "revenge shopping" phenomenon plays out.
- 35% of the General Class tickets will be shifted back to Unreserved post the pandemic
- Component of AC coaches to be introduced by Railways would be higher compared to non-AC coaches in the future.

[II] IRCTC's largest financial potential lies in the Non-convenience Fees segment

See immense potential in non-convenience revenue (~ INR 90 Cr as of 9MFY21 revenue), i.e. Advertising, Payment Gateway, Net Banking and Co-branded Credit Cards

- **Transactionary Revenue from Payment Gateway and Net Banking** stood at approximately INR 23-24 Cr in FY21 (from 17-18 Cr in FY20) and has potential to grow multifold over the next few years. Revenue model is based on % of transaction done wherein company used to earn 0.1% per transaction earlier (when IRCTC did not have a payment gateway) which has now increased (once iPay was launched). Additionally, massive opportunity exists if the Payment Gateway is taken to other Government Websites (already applied for permission and confident of expanding)
- **Advertisement Revenue:** IRCTC uses Double Click For Publisher (DFP) tool on its website/app which has the capability to which automatically allocates space on the website to any advertiser who offers the highest effective Cost per Mile or Cost per 1000 impressions. In a case where no advertisers are found through DFP, then the advertisement is displayed through Google Ad sense. Management has aggressively promoted its ad inventory and also rationalized its inventory rates to drive growth in this segment. Advertising revenues (revenue of INR 10 Cr in Q3FY21) will report robust growth and contribute to margin expansion of the Internet Ticketing segment.
- **Co-branded Credit Cards:** New tie-ups with HDFC Bank and Canara Bank in addition to SBI
- Launched co-branded wallet (iMudra) with Indusind Bank wherein revenue is on commission basis through 3 sources: Activation, Refilling Wallet and Transactions. Commission will be earned from railway as well as non-railway transactions
- Will monetize YouTube channel going ahead.



Rail Neer

[Rail Neer contributed 10% to FY20 revenue and 8% to FY20 EBIT]

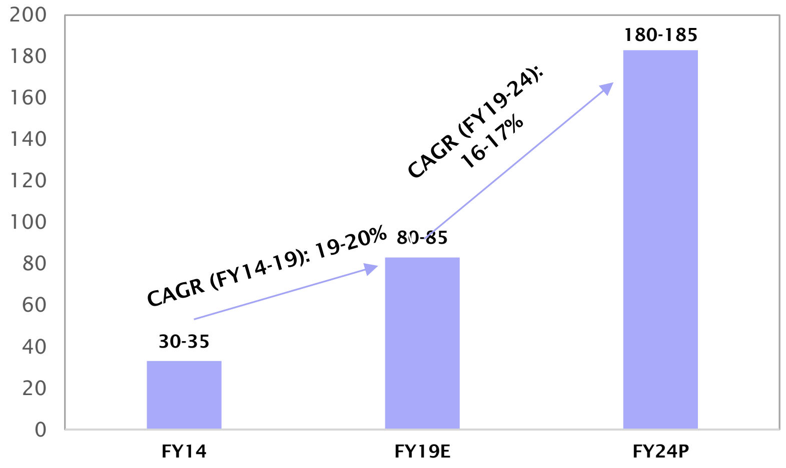
Packaged Drinking Water Industry

The Packaged Drinking Water Industry broadly operates in three models:

- **Standalone manufacturing** – companies set up their own plants for extraction of groundwater and bottling of processed water
- **Contract manufacturing** – bottling operations are partly or entirely outsourced to a third-party to reduce initial setup cost
- **Franchisee operations** – third party uses the trademark of the parent company to sell the product under their name for an agreed upon franchisee fee while adhering to the quality standards and guideline laid down by the franchiser in manufacturing the product

Key Triggers driving the Packaged Drinking Water Industry

- Rising Health consciousness
- Advertising by major players in the industry
- Large players widening distribution network
- Rising domestic tourism – Domestic Tourist Visits (DTV) growth 9-10% and Foreign Tourist Visits growth at 8-9% CAGR between 2013-2018
- Organized packaged drinking water market has been estimated to have grown from Rs 30-35 billion (at retail price) in FY14 to Rs 80-85 billion in FY19 at a strong 19.5% CAGR – expected to grow at 16-17% between FY19 and FY24 - with higher upside tailwind as consumers become extra health-conscious post COVID



Competitive Assessment

SKU-wise Price Comparison (INR per unit)…

	250ml	300ml	500ml	1L	2L	5L	20L	25L
Bisleri	6	10	10	20	30	65-70	80	NA
Kinley (HCCB)	NA	NA	10	20	25-32	NA	90	110
Aquafina (VBL)	NA	NA	10	20	30	NA	NA	NA
Railneer (IRCTC)	NA	NA	10	15	NA	NA	NA	NA

Source: Crisil, Company Websites, IRCTC RHP, D&B Research

Generally, the highest selling SKU is the 500 ML and 1L water. Bisleri has the widest range of SKU and is present from 250 ML to 20L followed by Kinley and Aquafina. Rail Neer is present only in the 500 ML and 1 L SKU and has a pure monopoly in Indian Railways.

Segment-wise presence

	Carbonated Soft Drinks	Non- Carbonated Drinks / Fruit Drinks	Packaged Drinking Water
Bisleri International Private Limited (Bisleri)	✔		✔
Hindustan Coca-Cola Beverages Private Limited (HCCB)	✔	✔	✔
Varun Beverages Limited (VBL)	✔	✔	✔
Indian Railway Catering & Tourism Corporation Limited (IRCTC)			✔

Source: Crisil, Company Websites, IRCTC RHP, D&B Research

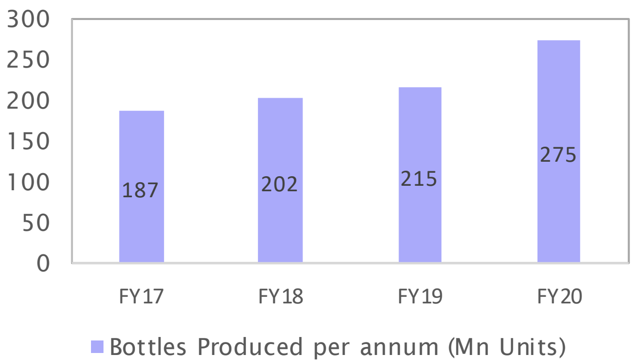
Railneer is only present in the Packaged Drinking Water segment vs Hindustan Coca Cola which has additional presence in Carbonated Soft Drinks as well as non-Carbonated Drinks followed by Bisleri which has recently launched Carbonated Soft Drinks.

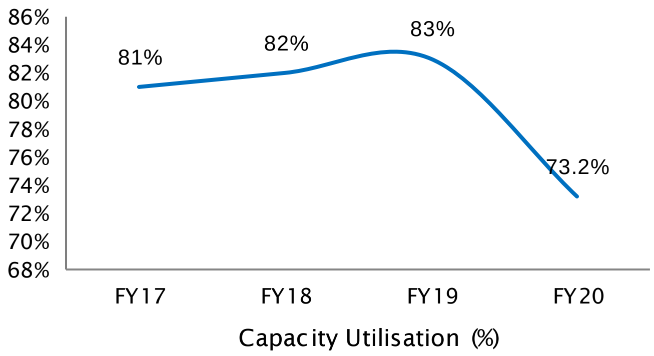
Key Investment Rationale in Rail Neer

IRCTC is the only authorized entity to manufacture and distribute packaged drinking water at all railway stations and trains under the brand "Rail Neer". There are 14 operational plants with a capacity stands at 1.4 Mn bottles per day (bpd) which cover 70% of the railway stations.

Operational Plants (IRCTC owned)	Delhi, Patna, Palur, Ambernath, Bilaspur,	5
Operational Plants (PPP)	Amethi, Parassala, Hapur, Sanand, Mandideep, Sankrail, Jagiroad, Nagpur, Jabalpur	9
Rail Neer Plants Under Commissioning	Bhusawal, Una, Mallavalli,(Vijayawada)	3

IRCTC is currently undergoing a capacity expansion exercise which will increase its bottle per day capacity from 1.4 Mn to 1.8 Mn by end of Q4FY21 and to 2.7-2.8 Mn bpd by Q4FY22.





IRCTC has 3 revenue sources in the Rail Neer segment:

- **Sale of bottles:** The cost per bottle for IRCTC stands at INR 5-5.5 per bottle (from the manufacturing plant) to which GST of 18% and logistics cost is added and sold forward to the vendors at INR 10 for stations less than 50 km distance and at INR 10.5 to stations more than 50 km distance from the plant. IRCTC approximately makes a margin of INR 1.3 per bottle.
- **License Revenue from PPP partners:** INR 40 lakhs per plant per annum. IRCTC generally acquires land from the state government or another government agency (approximately costs INR 2-3 Cr) and set up cost of the plant for 6000 cartons per day is approximately INR 10-12 Cr which is 80% borne by IRCTC and 20% by the manufacturer. Out of the 10-12 Cr, INR 3 Cr is roughly the construction cost and the balance is machinery.
- **Advertising revenue** from labels on the bottles

Plant	Production Capacity (Lakhs)	Factory Area (sq mtr)	Establishment
Nangloi, Delhi	1.02	7,000	May, 2003
Danapur, Patna	1.02	10,000	March, 2004
Palur, Chennai	1.80	9,000	July, 2010
Ambernath, Maharashtra	2.00	20,000	October, 2014
Amethi, UP	0.72	8,221	March, 2015
Parassalla, Kerala	0.72	4,000	June, 2015
Bilaspur, Chhattisgarh	0.72	8,129	June, 2017
Hapur, Uttar Pradesh	1.00	6,000	April, 2019
Sanand, Ahmadabad	0.72	5,000	April, 2019
Mandideep, Bhopal	0.72	5,190	July, 2019
Nagpur	0.72	6,000	August, 2019

Volume game coupled with monopoly status make a disruptive combination for Rail Neer in the Packaged Drinking Water Industry

Since IRCTC is the only entity authorized to manufacture and sell packaged drinking water at railway stations, it is a pure monopoly business. With the current capacity of 1.8 Mn bottles per day, IRCTC covers ~70% of the stations in India. By the end of FY22 (as capacity expands to 2.7 – 2.8 Mn bpd), IRCTC will be able to cover more than 100% of the stations. Lastly, Rail Neer is the most affordable packaged drinking water in the 1L SKU available in market (see chart below) as Railways have a social responsibility to the public, we do not expect any realizations gains. However, volumes will be a key driver of segment growth and operating leverage will be a driver of margin expansion in this business.

Volume growth will purely be a function of capacity increase. Operating leverage is a function of capacity utilization of a particular plant and logistics from the manufacturing unit to the station. Anecdotal evidence states that a plant runs at 15-16% capacity in the 1st year, 75-80% capacity in the 2nd year and 90-100% of capacity in the 3rd year. Majority of the plants were commissioned in the last 3 years, therefore most of the operating leverage will play out between FY21e and FY23e whereas 3 plants are being commissioned in CY21 which will take another 2 years to stabilize.

Price comparison of peers in Packaged Drinking Water space

	250ml	300ml	500ml	1L	2L	5L	20L	25L
Bisleri	6	10	10	20	30	65-70	80	NA
Kinley (HCCB)	NA	NA	10	20	25-32	NA	90	110
Aquafina (VBL)	NA	NA	10	20	30	NA	NA	NA
Railneer (IRCTC)	NA	NA	10	15	NA	NA	NA	NA

Source: IRCTC RHP, D&B Research

IRCTC's first target is to make Rail Neer available at 100% of the stations, once the company reaches this target – the number 1 agenda would be to sell the water bottles outside of the stations. However, market dynamics outside the station are vastly different as sales (outside) are purely a function of the margin incentive that retailers have.

Side Note: IRCTC's contracts under various PPPs states that a certain minimum off-take is required under the agreement. If IRCTC does not pick up the threshold quantity, the company is required to pay INR 0.10 – 0.20 per bottle to the manufacturer.

Travel & Tourism

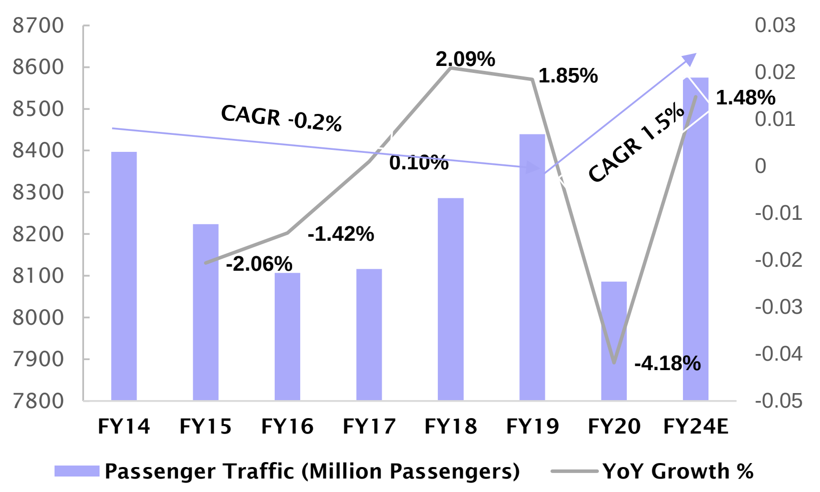
[T&T contributed 17% to FY20 revenue and 7% to Q3FY21 revenue and 3% to FY20 EBIT]

Industry Overview

Railway Passenger Traffic

Total railway passenger traffic has remained nearly flat and in fact reported marginal de-growth from 8,397 million passengers in FY14 to 8,086 Mn passengers in FY20.

Railway Passenger Traffic



Source: IRCTC RHP

Passenger traffic is divided between Suburban and non-Suburban. As of FY20, the suburban : non-Suburban ratio in passenger railway traffic stood at 56.8 : 43.2

Going forward, the share of suburban passenger traffic in total railway passenger traffic is expected to slightly increase from ~57% in FY19 to ~58% by FY24, as passenger traffic on the suburban network is likely to grow at a 0.5-1.5% CAGR during the period, while non-suburban passenger traffic should remain flat.

Within non-suburban passenger traffic, share of upper class reserved ticket bookings in total railway passenger traffic is expected to grow slightly from ~2% in FY19 to ~3% in FY24, with the segment growing at a 5.5-6.5% CAGR during the period on account of growing preference for convenient travel.

Freight traffic growth revives in FY18 after remaining flat for two years

Total railway freight traffic grew from 1,052 million tonnes in FY14 to 1,160 million tonnes in FY18, registered a 2.5% CAGR during the period. Growth in freight traffic was majorly driven by strong freight demand from coal, pig iron and finished steel, iron ore, and container service during the four years. In FY18, freight traffic rebounded to a 4.8% yoy growth on the back of strong freight demand from coal, cement, container service, and other goods.

Government introduced measures to increase freight traffic, with an objective of increasing the share of Indian Railways (IR) in freight transport across India. Government announced the Eastern and Western Dedicated Freight Corridors (DFC), which aims to cut down on the turnaround time between importing and consuming destinations through construction of a railway network specialized for freight traffic.

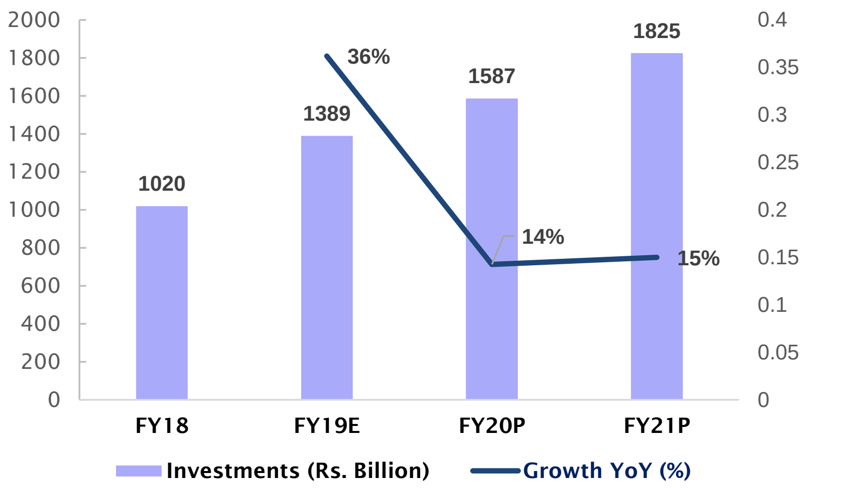
Robust investments over the next three years to be driven by dedicated freight corridors

The government announced a planned outlay of Rs 1.59 trillion for the railways in the Interim Union Budget 2020, 14% higher than the preceding year's revised estimate of Rs 1.39 trillion, thus driving investment in the sector. About 41% of the planned outlay is expected to be financed through budgetary support, and the remaining through internal sources and market borrowings/institutional finance.

The growth in investments is driven by:

- Availability of funding from Life Insurance Corporation (LIC) and Multilateral agencies
- Improvement in the pace of approvals
- Provision of additional resources such as Rashtriya Rail Sanraksha Kosh (RRSK)
- Increase in private sector participation (especially in rolling stock, station redevelopment, connectivity projects, etc.)

Investment in Railways

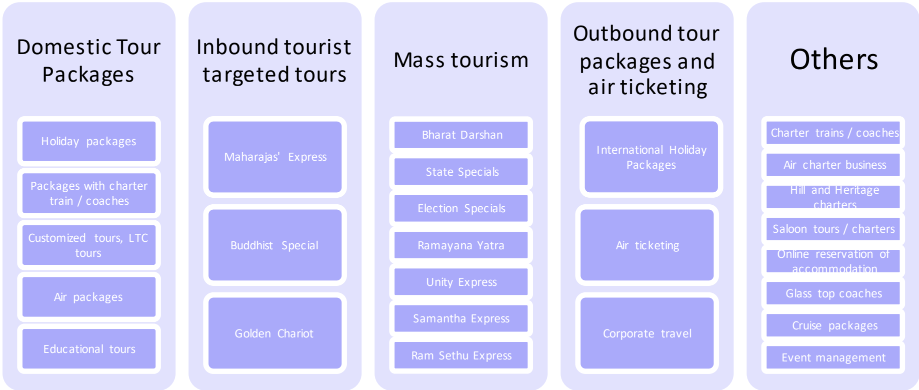


Source: IRCTC RHP

Segment Overview

- Offers domestic and international tour packages, hotel bookings, car rentals, air ticketing, educational tours, charter train packages and cruise packages
- Operates special tourist trains like Buddhist Circuit, Bharat Darshan and theme-based tourist trains
- Operates Luxury trains like Maharaja Express and Golden Chariot

IRCTC Offerings in Travel & Tourism



Source: Company Presentation, D&B Research

Travel & Tourism Revenue Break-up

Travel & Tourism	FY15	FY16	FY17	FY18	FY19	FY20
State Special Train	1255	1993	2735	2088	2022	949
Contribution (%)	62%	70%	77%	71%	68%	46%
Growth (%)		59%	10%	-9%	-5%	-32%
Maharaja's Express	399	409	361	381	440	538
Contribution (%)	20%	14%	10%	13%	15%	26%
Growth (%)		3%	-12%	6%	15%	22%
Bharat Darshan	202	318	400	417	508	537
Contribution (%)	10%	11%	11%	14%	17%	26%
Growth (%)		57%	26%	4%	22%	6%
Buddhist Circuit	35	20	27	16	24	22
Contribution (%)	2%	1%	1%	1%	1%	1%
Growth (%)		-43%	35%	-41%	50%	-8%
Others	123	93	7	48	0	6
Contribution (%)	6%	3%	0%	2%	0%	0%
Growth (%)		-24%	-92%	586%	N.A.	N.A.
Total	2014	2833	3530	2950	2994	2052
Tourism				1894	2580	2949
State Teertha				2106	1946	946
Total Tourism and State Teertha				4000	4526	3895

Source: Company Presentation, Annual Report, D&B Research

State special trains are the largest contributor to Travel & Tourism segment, followed by Maharaja Express and Bharat Darshan

State special trains contribute maximum to the Travel & Tourism segment, followed by State Teertha, Maharaja Express and Bharat Darshan.

Key Triggers in the Travel & Tourism Segment

Strong cross-selling opportunities

IRCTC is one of the most transacted websites in Asia Pacific with a transaction volume of over 25 Mn per month, 5.5mn logins per day, 25000 registrations per day and more than 8 lac railway tickets booked per day. With these herculean stats, the company can achieve solid cross-selling in other segments such as Airline Ticketing, Hotel Booking and Bus Ticketing.

Airline Ticketing is subsegment which has massive potential for IRCTC. As of Q3FY21, air ticket booking run rate stood at 5000 per day, up from 3000 in Q2FY21. Between April 2020 and November 2020 – IRCTC booked 0.47 Mn tickets. IRCTC only holds 3% market share as it was a late entrant (up from 0 in FY19) vs MakeMyTrip and Yatra which hold 30%+ market share. However, management has indicated that this segment can potentially double in FY22 and post strong double-digit growth thereafter as IRCTC offers the lowest convenience fees (INR 50) vs other Online Travel Agency Space (OTA) which charge in the range of INR 200-250.

Additionally, IRCTC is 1 of the 3 entities permitted to offer air ticketing services to various ministries at Central and State Government level. Tickets are offered on an "Advanced Rolling deposit" system wherein costs are prepaid by the respective ministries.

Election Special Trains: Authorized entity to operate special election trains for movement of paramilitary forces across India for general and assembly elections

Hotels business to provide impetus to Travel & Tourism segment

IRCTC currently operates 2 business models under Hotels business:

- Direct tie-up with hotels: under which IRCTC has tied up with 7200 hotels either on a) Inventory basis or b) API system. Commissions are in the range of 10-15% for majority of the tie-ups except luxury hotels where the % commission is lower as the quantum is higher
- Own hotels (Rail Yatri Niwas and Budget Hotels): wherein the land is acquired by IRCTC (usually from State Governments or Other Ministries) and the project is executed on a Build, Operate and Transfer (BOT) basis. Company currently has budget hotels in Lucknow and Delhi and new projects underway are near Lucknow, Kevadia and Khajuraho with total planned capex over FY22e and FY23e is to the tune of INR 200 Cr. Revenue streams under this model are license fees plus revenue sharing.

EBITDA Loss in Q3FY21 was higher at INR 114 Mn vs 95 Mn in Q2FY21 due to lower revenue and partial operation of Tejas Express

IRCTC exploiting unique opportunity of religious tourism through Bharat Darshan & Pilgrimage Special Trains

IRCTC carries almost 700 – 800 tourists (primarily senior citizens) on a sleeper class train for a period of 10-14 days to various places of tourist or religious importance and offers end to end services. IRCTC ran 3 such trains in January 2021 and planned to complete 14 such tours by March 2021. Demand for such special trains is extremely strong in a religiously inclined country like India. The strong demand environment is evident from 2 use cases – (i) Bharat Darshan trains ran at 90% capacity in December 2020 and (ii) Lucknow Tour done in Q4FY21 was filled within 4 days of ticket opening (that too in the middle of the COVID situation!). Therefore, we believe that this segment offers a massive opportunity once vaccinations are complete and lockdowns recede

Premiumization and Privatization of trains to benefit in 2 folds: 1) Improve margins and 2) drive shift in consumer preference from air travel to train travel

Government of India has come out with tenders for running of 150 private trains across 11 train clusters. Currently, IRCTC runs 2 Tejas trains [Mumbai-Ahmedabad and Delhi-Lucknow] and 1 Mahakal Express [Varanasi-Indore]. IRCTC, being the most experienced entity after Indian Railways, plans to bid aggressively.

Salient Features of Tejas Express:

Tejas Express review of a YouTube Blogger…

Source: YouTube, D&B Research

- Tejas Express features modern onboard facilities with doors which are operated automatically.
- These two trains run on Lucknow - Delhi - Lucknow and Ahmedabad – Mumbai - Ahmedabad routes for 6 days in a week and will primarily cater to the business travelers traveling frequently between these cities, besides catering to tourists.
- Trains are equipped with all modern on-board facilities for ensuring a high level of comfort to the passengers.
- All passengers travelling on IRCTC trains will be provided with Rail Travel Insurance of up to Rs. 25 Lakhs, free of cost by IRCTC
- On board infotainment services will be available in IRCTC trains to the passengers
- High quality food and beverages will be provided to the passengers on board in the train. Food charges are prepaid and included in the fare itself.
- IRCTC is planning to extend the facility of collecting passengers' baggage from their homes and deliver to them in the train on their seats and then again from their seats to their destination stay point on payment. Modalities for the same are being worked out with vendors for this purpose. Passengers will be able to travel without worrying for their luggage. Luggage will be insured
- IRCTC will also extend the facilities of taxi hiring, hotel bookings etc on payment to such passengers who need it. Wheel chair will also be provided to passengers on demand.

Side Note: Tejas trains broke even from the day one of operations.

We believe that premiumisation of trains (also Stations, Services, etc.) by IRCTC, Indian Railways and through PPP mode will drive a shift in travel preference from Air (48-50% of Indian Booking Industry as of FY19) to Rail (19-20% of Indian Booking Industry as of FY19).

150 trains in a PPP mode in 12 clusters

The Indian Railways – in conjunction with the GoI – planned to roll out tenders for part privatisation of trains in order to fill the unmet demand. As of FY18, the % of *Waitlisted Passengers* (as a % of reserved seats) stood at 15% which in turn leads to loss of passengers to other modes. Therefore, the Indian Railways planned to bundle 100 paths into 12 clusters with an indicative investment of INR 22,500 Cr and concession period of 35 years.

Salient Features of PPP Model

Process	2 Stage Bidding Process on a per Cluster basis
Bid Basis / Revenue Stream	Gross Revenue Share
Max. Bids	Max. 3 Clusters
Authority Support	Access to: Track & Signalling Equipment Deposit Site & Washing Line Concierge Services
Procurement & Deployment	Concessionaire is responsible for rake procurement from ANY source Required to deploy 100% Trains within 5 years Operations to start within 3 years of appointed date Op. and Maintenance by Concessionaire Crew to be deployed by Concessionaire or second to IR
Revenue Streams	User Fare (market linked) Fees for Related Services
Costs	Revenue share due to partner Haulage Charges
Eligibility	Domestic or International Government/Private Co. or Fund Technical Capacity: Minimum sum of Rs 2700 crore over last 5 years Financial Capacity: Minimum Net Worth / ACI of Rs 450 crore
Timelines	Invitation of Application (T) Shortlisting based on Technical & Financial Capacity (T+60) Invitation of Bids from Shortlisted Applicants under RFP (T+70) Selection of successful Bidder for each Cluster (T+150) Award of Project (T+180)

Source: Indian Railways Website, Presentation, D&B Research

Haulage Costs under PPP Model

Description	INR tkm
Terminal Cost	152
Traction (includes energy)	158
Transportation	123
Track Maintenance	74
Signalling	27
Overheads	134
Total Cost	668

Source: Indian Railways Website, Presentation, D&B Research

Haulage costs are estimated at INR 668 per train km and include the Terminal Cost, Traction, Transportation, Track Maintenance, Signalling and Overheads

Expect quantum and frequency of Passenger trains to increase and travel times to shorten once Dedicated Freight Corridors come in

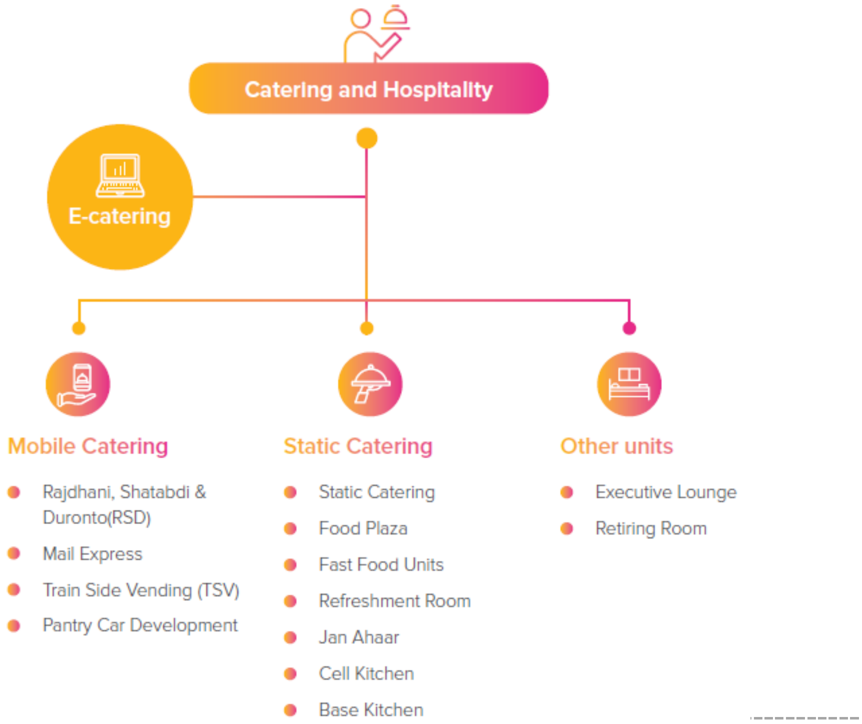
Government introduced measures to reduce freight traffic and announced the Eastern and Western Dedicated Freight Corridors (DFC), which aims to cut down on the turnaround time between importing and consuming destinations through construction of a railway network specialized for freight traffic. The government announced a planned outlay of Rs 1.59 trillion for the railways in the Interim Union Budget 2020, 14% higher than the preceding year's revised estimate of Rs 1.39 trillion, thus driving investment in the sector.

With the introduction of DFC, we expect Passenger Trains to increase both in terms of quantum and frequency as travel times shorten. This would have multi-fold benefits for IRCTC as it will provide impetus to all segments – Travel & Tourism, Internet Ticketing, Rail Neer and Catering

Catering

[Catering contributed 46% to FY20 revenue and 17% to FY20 EBIT]

Catering Business Overview



Source: Annual Report

Catering business is divided into E-Catering, Mobile Catering, Static and Others (which includes Executive Lounges and Retiring Rooms)

Rail catering industry is currently estimated at Rs. 12bn and is expected to grow at 7.5-8.5% CAGR between FY20-24 to reach Rs. 15.5bn in size. Primarily, the increase will be led by passenger growth and addition of long-distance trains. As of FY20, rail catering contributes ~46% to revenues.

Segments

IRCTC provides catering services through various ways such as Mobile catering, Static catering, E-Catering and other hospitality business. There was a new Catering Policy implemented in 2017 where in the responsibilities for the entire catering services on all mobile units and a part of the static catering services were to be handed over to IRCTC. Following were the mandates under the new catering policy 2017 (see following page).

Key Features of the Catering Policy 2017

1. Unbundling of catering services by creating a distinction between food preperation and food distribution. To set up new kitchens and upgrade existing ones ***(As of FY20, IRCTC identified 54 out which 36 were to be renovated and modified and balance to be set up as new kitchens)***	2. IRCTC shall be responsible for catering services through mobile catering units, Base Kitchens, Cell Kitchens, Refreshment Rooms at A1 and A category of stations, Food Plazas, Food Courts, trains side vending, and Jan Ahars. ***(As of FY20, IRCTC managed 169 refreshment rooms, 56 Jan Ahaars and 24 cell Kitchens.)***	3. IRCTC shall manage catering service on all mobile units having pantry car service presently with IRCTC
4. IRCTC shall also take over management of catering services on trains for which contracts have not been awarded by Zonal Railways due to various reason or trains that are being run departmentally by Zonal Railways.	5. IRCTC shall determine the menu of standard meals as also of Rajdhani/ Shatabdi/ Duronto, in consultation with Zonal Railways, taking into consideration the local taste and cuisine. The standard meals served in trains shall be within the fixed tariff approved by Railway Board.	6. Sale of a-la-carte items and Ready-to-Eat (RTE) meals shall be permitted through e-catering as well as on-board catering services by IRCTC. ***(As of FY20, company is tied up with over 700 vendors including major QSR chains such Dominos)***

Source: Catering Policy 2017 | D&B Research

Mobile Catering

Refers to catering provided on board a train through a pantry car attached to a train or base kitchens which are present in or near railway premises for food preparation and distribution to trains or static units. Pre-Covid-19, this service was present on 448 trains (24 Rajdhanis, 2 Tejas, 1 Gatiman, 2 Vande Bharat, 23 Shatabdis, 18 Durontos, and 347 Mail/express trains). Post Pandemic, the same service is available in 283 trains currently. For trains, which did not have a Pantry car attached, IRCTC appointed and licensed Train Side Vendors (TSV) to provide meals. As of FY20, 26 sections over Indian railway network have been finalised for provision of TSV.

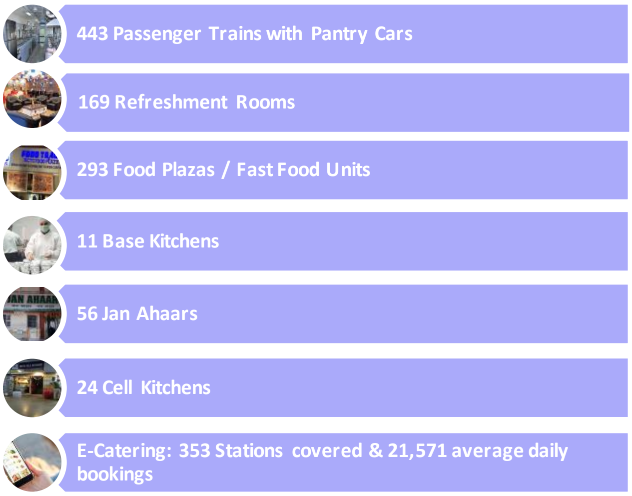
As part of Catering policy 2017, for pantry car service contracts which are awarded by Zonal railways, the sharing of License fee between Indian Railways (IR) and IRCTC is in the ratio of 40:60. **For all contracts where in Pantry car renovation/modification takes place, the sharing ratio is 15:85 respectively.**

Static Catering

This segment includes offboard catering services at stations comprising fast food units, food plazas, Jan Ahaars, refreshment rooms, base kitchens, and at executive lounges and other facilities at station premises such as budget hotels and Rail Yatri Niwas. **As of FY20, IRCTC managed 169 refreshment rooms, 56 Jan Ahaars and 24 cell Kitchens and in total 293 operational units including 16 food plazas and 40 fast food units being commissioned in the financial year 2020.**

As of FY20, 11 base kitchens located at New Delhi, Howrah, Ahmedabad, Patna, Mumbai Central, Mumbai CST, Ballarshah, Nagpur, Balasore, Sealdah and Kharagpur Jn.

Catering Statistics



Source: Annual Report, Dalal & Broacha Research

E-Catering

E-catering is an online food ordering service, launched by IRCTC in September 2014, that allows rail travellers, who are willing to pay higher prices for variety in food options, to order food items from partner restaurants listed on IRCTC's Food on Track app, IRCTC's e-catering website, and online platforms of other partner aggregators approved by IRCTC. Rail travellers can use their Passenger Name Reservation (PNR) number to order food items available with listed restaurants in the vicinity of approaching railway stations, any time after booking of ticket and up to two hours of scheduled arrival of the train, and have it delivered to the seat/berth allotted on their PNR number.

The partner restaurants are selected through a tendering process and pay IRCTC 12% flat commission of the order value for every order received through the Food on Track platform or a partner aggregator platform.

IRCTC provides e-catering services through its "Food on Track" app on mobile and through its website

E-Catering: Trends & Statistics

IRCTC has tied up with close to 700 vendors either directly associated with the company or through 3rd party aggregators. Average daily meals booked has increased from just 22 in FY15 to 21571 in FY20. As seen in the chart above, E-Catering segment revenues has grown at a CAGR 68% while volumes have grown at a CAGR of 70% between FY17-20. Currently the company is tied up with most major brands such as Dominos, Mc. Donald's, Haldiram etc. QSR space is expected to grow in high teens going forward which will further aid growth in the E-catering segment for the company.

Key Triggers in the Catering Segment

IRCTC's catering revenues have grown at a CAGR of 39% between FY17-20. The high CAGR is due to the catering policy change of 2017. It is expected that Catering segment is posed to grow at 7.5% to 8.5% CAGR between FY20-24e. We have rather taken a conservative approach and only estimated a 6.1% CAGR factoring in the impact of the 2nd wave and delay in recovery and thus start of operations. We expect full recovery only between FY22e to FY23e. on E-Catering side, revenues have grown at a high CAGR of 70% between FY17-20. We expect it to grow conservatively at a CAGR of 26% between FY20-23e. Due to its high CAGR, contribution from E-Catering to overall catering revenues will also increase from 7.1% in FY20 to 12.6% in FY23e.

Key Triggers which can lead to further upwards revision of estimates for catering segment

- **Pricing Policy implementation**: in November 2019, the company had gotten approval to raise prices for its meals served on Rajdhani, Shatabdi, Duronto and Mail/express trains. Soon after the country went through the pandemic, and the implementation decision was delayed.
- **Addition of more routes, tourist spots and trains**: will directly increase the footfalls travelling, which can further lead to volume gains going forward
- **Quality of Food**: as part of Catering policy 2017, company had set standards for preparation of fresh food meals in efforts to improve quality. To monitor, company has also added CCTV coverage to a number of base kitchens and plazas. Company aims to have coverage in all base kitchens going forward
- **Addition of Food plazas, Jhan Adhars etc**: With increasing number of stations have destinations, company also plans to increase the number of food plazas. ***They had planned to add another 50 Plazas in FY21, but was delayed due to the pandemic***

Future Plans

Food Plazas	• FY20: Commissioned 16 Food Plazas, 40 Fast Food Units, • FY21: Planned to add 50 FP / FFU
Base Kitchens	• FY20: 7 Kitchens Upgraded • FY21: 55 kitchens identified which are WIP
Train Side Vending	• Plans to serve 1500 non-pantry car trains through Train Side Vending
E-Catering	• FY20: 358 stations and 690 vendors. Brands like Domino's , Subway, Haldiram's, Faasos, Biryani Blues, A2B, Sravana Bhawan, Nirula's etc. have already associated with e-catering platforms • FY21: Operation of e-catering services on 3 renowned e-commerce platforms

Source: Annual Report, Dalal & Broacha Research

- **Re-starting serving fresh food in trains**: Due to the 2nd wave, this decision has likely been delayed further and is entire dependent on the number of active cases and the on-going vaccination program in the country. Once things improve, a sooner decision may also help in implementing the Pricing Policy (point 1) faster.
- **Addition of more pantry cars to trains**: Currently only 283 trains have mobile catering v/s 443 Pre-Pandemic. IRCTC operates over 2200 trains in its entirety, which means only 13% currently have this service. **Company aims to add another 100 sections over the India rail network with Train Side Vending (TSV) arrangements. Further, more addition of pantry cars as well re-modelling of old ones will also lead to increased revenue share for IRCTC as per the new catering policy 2017 from 60% to 85%.**

- **Pricing policy a welcome move but delayed due to the pandemic:** In November of 2019, it was decided that menu prices for static units, Rajdhani, Shatabdi, Duronoto (RSD) trains and normal and mail express trains will be increased effective March 2020. This move came after 6 years i.e. between 2014-2020, the prices remained same across RSD and normal/mail express trains. The price increases are as follows

Rajdhani, Shatapdi, Duronto Trains

	1A/EC			2AC/3AC/CC			SL (Duronto Trains)		
Type of Service	Old Price (Rs.)	New Price (Rs.)	Change (%)	Old Price (Rs.)	New Price (Rs.)	Change (%)	Old Price (Rs.)	New Price (Rs.)	Change (%)
Morning Tea	12.5	29.96	140	8.0	15.53	94	6.5	12.2	88
Breakfast	81.5	133.14	63	66.5	97.64	47	34.0	57.69	70
Lunch/Dinner	129.5	230.78	78	112.0	175.30	57	71.0	113.17	59
Average Increase (%)			**94**			**66**			**72**

Source: Circulars from Indian Railways Website | Old Prices exclude Service Charge | New Prices Exclude GST | D&B Research

As seen in the exhibit above, there is almost a 66% revision due in meals offered in Rajdhani, Shatapdi and Duronto. Unfortunately due to COVID, the implementation of these prices was halted and only Ready to Cook meals are offered during the course of the pandemic. However, we believe that once normalcy resumes, new prices will be implemented.

Express / Mail Trains

Type of Service	Old Price (Rs.)	New Price (Rs.)	Change (%)
Breakfast (Veg)	30.0	40.00	33
Breakfast (Non Veg)	35.0	50.00	43
Standard Meal (veg)	50.0	80.00	60
Standard Meal (Non Veg)	80	90	13
Average Increase (%)			37

Source: Circulars from Indian Railways Website | Old Prices exclude Service Charge | New Prices Exclude GST | D&B Research

As seen in the table above, average increases across classes are significant. These increases were to be effective in late March 2020 but was eventually delayed due to the onset of the pandemic and subsequent lockdown. ***It is important to note that, these prices increase are not for the entirety of the catering segment, but only for a portion of it. Significant part of revenues do come from sale of packaged foods, dry snacks etc as well through E-Catering where in prices have not changed. Despite this, this price increase whenever effective will aid in margins going forward.***

Impact of Covid-19 on catering segment

Post Lockdown in May 2020, trains began operations in phases and only achieved near 100% operationality by Q3FY21. With rising cases, the Ministry of Health affair, IR and other local bodies directed the company to only serve Ready to Eat (RTE) foods in all its trains. This, coupled with travel restrictions, need of negative RT-PCR tests etc, led to reduced footfalls and thereby lower revenues. As seen in the chart above, in FY21 E-Catering revenues have fallen 78% YoY. With the on-set of 2nd wave in India currently, we believe catering will be restricted to RTE foods in the short term.

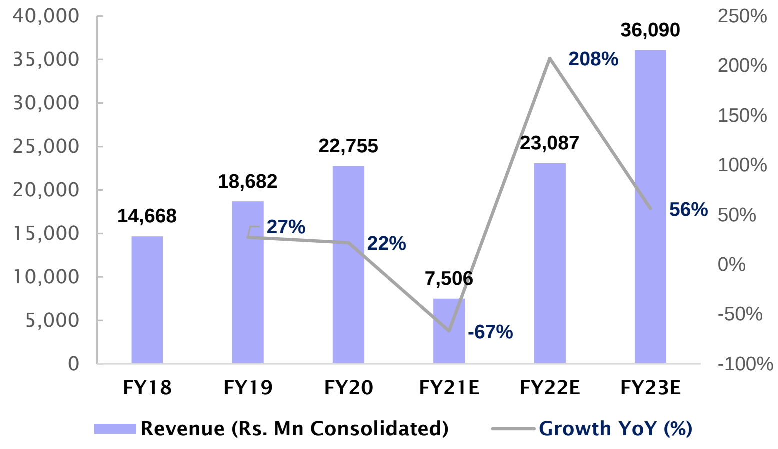
Indian Railways (IR) directed IRCTC to terminate all contracts of Mobile Catering

Since in majority part of FY21, IRCTC could only provide RTE foods, IR directed them to terminate all contracts of Mobile Catering where in fresh food meals were to be made. Due to this, the mobile catering association moved to Madras High court seeking permission to have similar contracts as with static catering and reduced license fee. The High Court then directed that only those contracts are to be terminated which are not operational since the pandemic and lockdown. IRCTC was then ordered to refund the license fee back to the mobile caterers with whom the contract was terminated. As of December 2020, company had already refunded 90% and balance was to be completed by Q4FY21.

Impact of Covid-19 on financials was just as severe with revenues falling 78% to Rs. 2288mn in FY21e while reporting losses on catering segment EBIT level of Rs. 770mn in 9MFY21.

Financials

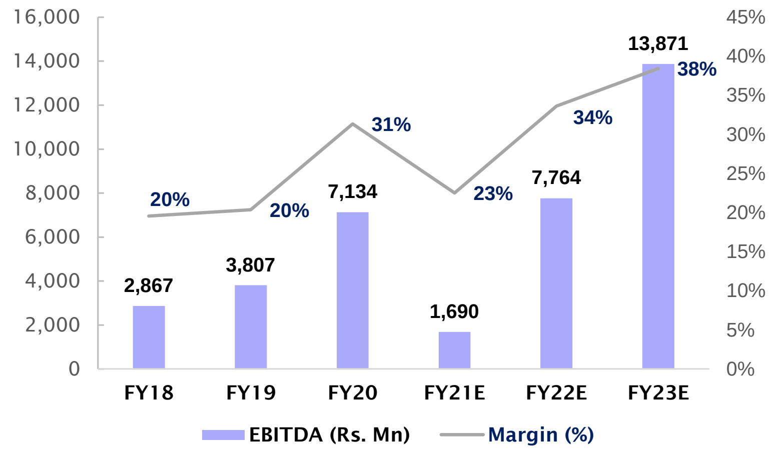
Revenue (INR Mn) & Revenue Growth (%)



Source: D&B Research, IRCTC Annual Report

We expect revenue to grow at 16.6% CAGR to INR 36,090 Mn between FY20 and FY23. We believe revenues to see a huge bump from H2FY22 as vaccines are rolled out to a large part of the population and travellers go into "revenge shopping mode"

EBITDA (INR Mn) & EBITDA Margin (%)

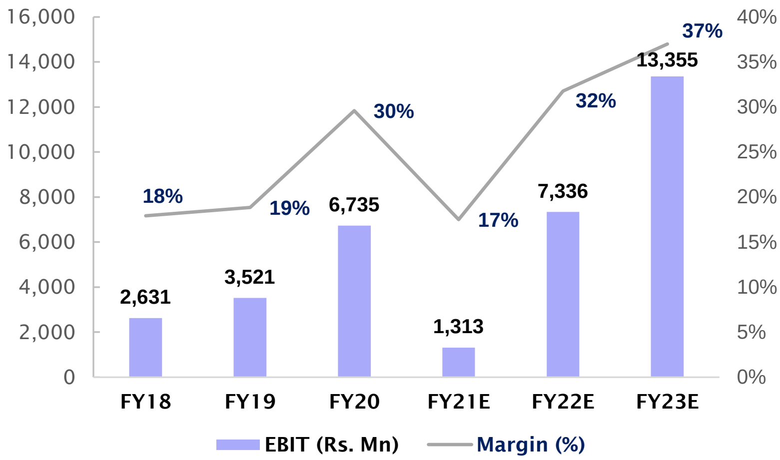


Source: D&B Research, IRCTC Annual Report

We estimate EBITDA to grow at a CAGR of 24.8% between FY20-FY23e and EBITDA margins to expand from 31% in FY20 to 38% by FY23e on the back of following triggers:

- **Disproportionate rise in higher margin non-Convenience fees revenue in Internet Ticketing**
- **Higher realizations in Catering once Circular 2019 prices are implemented post-COVID**
- **Operating leverage playing out as Utilizations increase in Rail Neer**

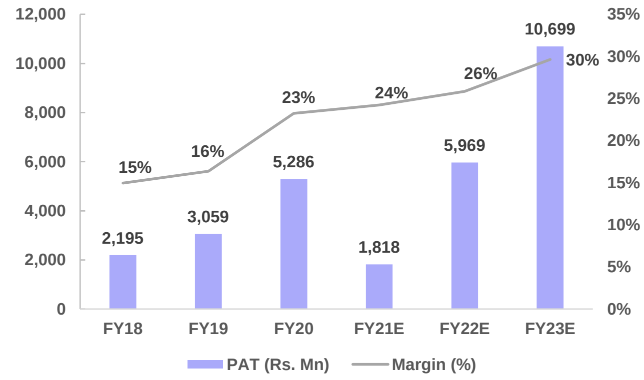
EBIT (INR Mn) & EBIT Margin (%)

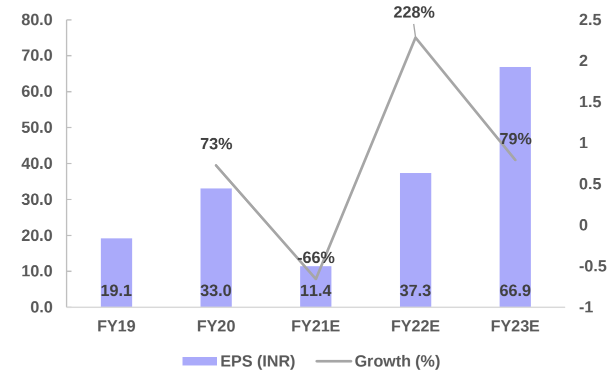


Source: D&B Research, IRCTC Annual Report

We expect EBIT to grow at a CAGR of 25.7% and EBIT margins are expected to improve from 30% in FY20 to 37% in FY23. We expect highest contribution to come from Internet Ticketing, followed by Catering and Rail Neer (see estimated EBIT margins in Exhibit on next page)

PAT (INR Mn) & PAT Margin (%)



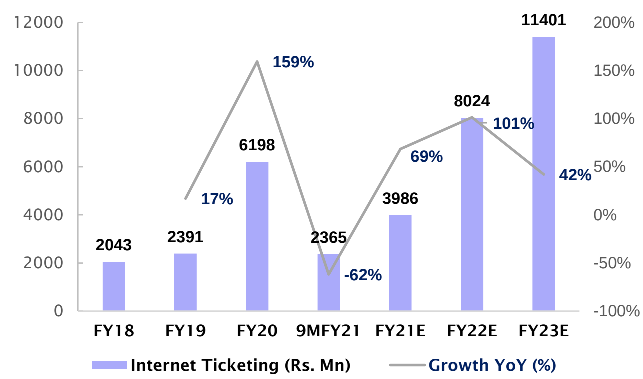


Source: D&B Research, IRCTC Annual Report

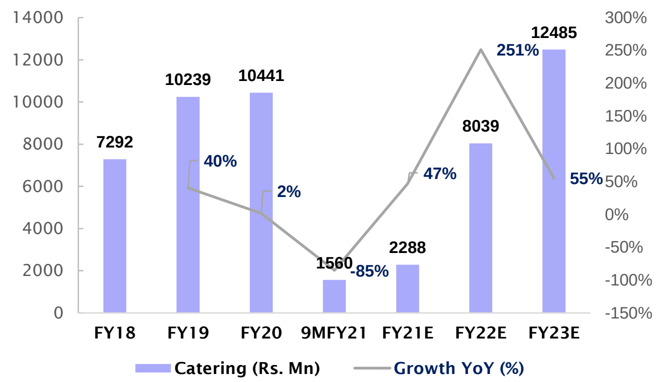
We estimate PAT to grow at a CAGR of 26.5% between FY20 and FY23e and margins are expected to grow from 23% in FY20 to 30% in FY23e

Segment-wise Revenue & Estimates

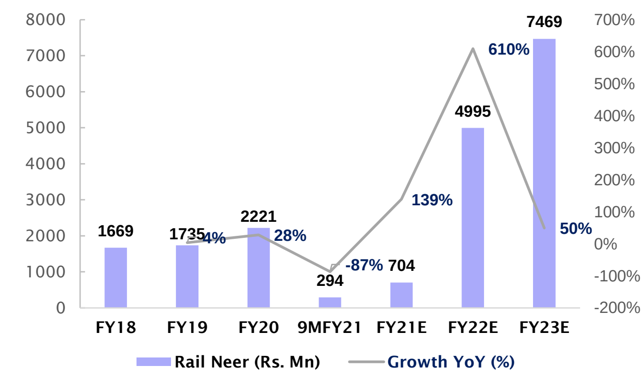
Internet Ticketing (INR Mn)



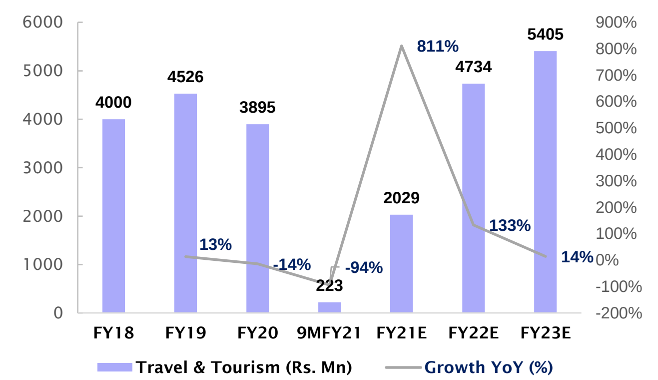
Catering (INR Mn)



Rail Neer (INR Mn)



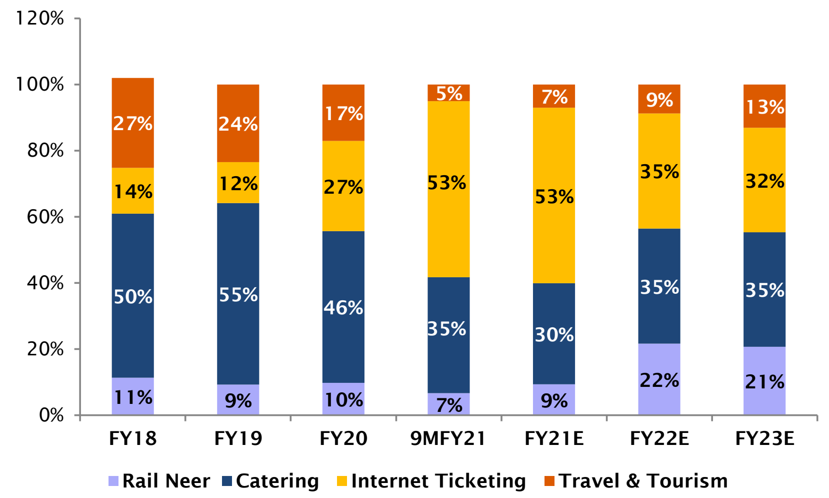
Travel & Tourism (INR Mn)



Source: D&B Research, Company

In our estimates, we have baked in Internet Ticketing revenue to grow at a CAGR of 23%, Rail Neer to grow at a CAGR of 50%, Catering to grow at a CAGR of 6% and Travel & Tourism to grow at a CAGR of 7% between FY20e and FY23e. Catering revenues have an upside risk to our growth estimates there is no clarity on when will the revision in prices (as per Circular in 2019) be implemented.

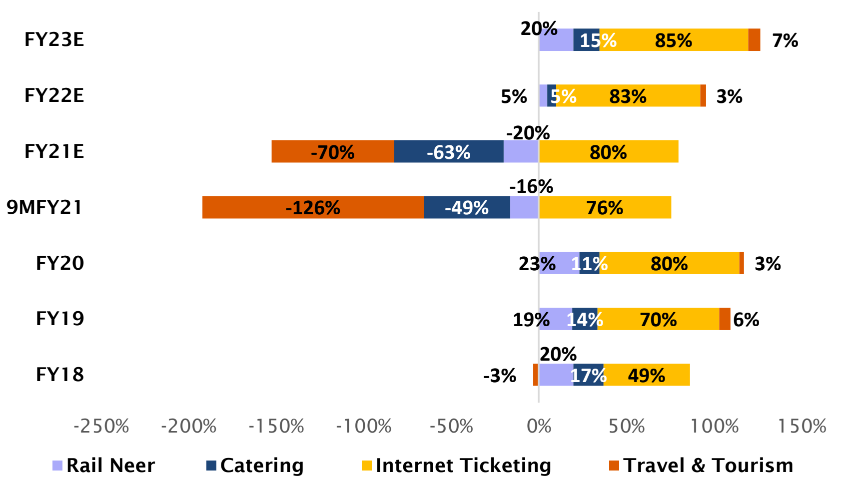
Segmental Revenue Contribution



Source: D&B Research, Company

Catering was the largest contributor to revenue at 46% in FY20, followed by Internet Ticketing at 27%, Travel & Tourism at 17% and Rail Neer at 10%. However, due to COVID, Catering segment shrunk to 35% and became the 2nd largest segment and Internet Ticketing contribution expanded at 53% as more and more travelers shifted to Digital and online booking. Over the long term, we expect Internet Ticketing to expand from 27% in FY20 to 32% in FY23, Rail Neer to expand from 10% in FY20 to 21% in FY23e. While, Catering is expected to shrink from 46% in FY20 to 35% in FY23e and Travel & Tourism contribution to shrink from 17% in FY20 to 13% in FY23e.

Segment-wise EBIT Margin Profile



Source: D&B Research, Company

Internet Ticketing reports the highest EBIT margins at 80% in FY20, followed by Rail Neer at 23% in FY20, Catering at 11% EBIT margins and Travel & Tourism at 3%. Going ahead, we expect maximum margin expansion in Internet Ticketing – from 80% to 85% - as non-Convenience fees business (which is a higher margin business) expands disproportionately as well as realization improvement in convenience fees from INR 17.3 in FY20 to INR 21 by FY23e. We expect Rail Neer EBIT margins to reach pre-COVID average of 20% (from -16% in 9MFY21) as operations resume and we expect

Catering Revenues to retrace to pre-COVID average of 15% EBIT margins with an upside risk due to implementation of revision of prices.

Valuation & Outlook

IRCTC is a pure monopoly business in 2 out of its 4 operating segments, namely Internet Ticketing and Rail Neer. Internet Ticketing segment can be compared to the Aviation Industry's Global Distribution System of India's Railway Industry as IRCTC earns Service charges regardless of the booking platform / agency. Non-convenience income holds hidden potential and is a big kicker in the Internet Ticketing Space. Rail Neer is a volume game as manufacturing capacity increases coupled with margin expansion as operating leverage plays out. Catering segment will see the benefit of volumes through higher Train Side Vending, e-Catering, Food Plazas, Fast Food Units and Jan Ahaars and benefit of pricing as revised prices (in Circular of 2019) are implemented post-COVID.

We expect consolidated EBIT margins to expand from 30% in FY20 to 37% in FY23e on the back of higher proportion of tickets booked online (72% as of FY20 and 92% in COVID times) in a post COVID world, disproportionate rise in non-Convenience income, better pricing in Catering and operating leverage playing out in Rail Neer.

IRCTC is currently trading at 48x / 27x FY22e / FY23e. We strongly believe this stock to be a long-term compounder and we apply 2 scenarios for its target price

Scenario	Comments	P/E Multiple	FY23e EPS	Target
Base	**As is**	**40x**	**66.9**	**2,676**
Blue Sky	Higher catering prices, higher than expected tickets bpd, PPP playing out in Travel & Tourism and introduction of DFC unwinding Passenger Trains potential + Monopoly Status Valuations	60x	73.6	**4,416**

Financials

Profit & Loss Statement						
YE March (Rs. mn)	**FY18**	**FY19**	**FY20**	**FY21E**	**FY22E**	**FY23E**
Net Sales	14712	18682	22755	7506	23087	36090
% Growth	-4%	27%	22%	-67%	208%	56%
Operating Expenses						
Total Operating Expens	**11801**	**14875**	**15621**	**5816**	**15324**	**22220**
EBITDA	**2911**	**3807**	**7134**	**1690**	**7764**	**13871**
Growth (%)	*-7%*	*31%*	*87%*	*-76%*	*359%*	*79%*
EBITDA Margin (%)	*20%*	*20%*	*31%*	*23%*	*34%*	*38%*
Less: Depreciation	237	286	399	377	428	516
EBIT	**2674**	**3521**	**6735**	**1313**	**7336**	**13355**
Growth (%)	*-8%*	*32%*	*91%*	*-81%*	*459%*	*82%*
EBIT Margin (%)	18%	19%	30%	17%	32%	37%
Interest Paid	29	23	73	73	73	73
Other Income	736	888	781	901	1154	1805
Extra-ordinary Income/(Exp	52	374	11	423	0	0
PBT	**3433**	**4759**	**7454**	**2564**	**8417**	**15086**
Tax Expenses	1195	1700	2168	746	2448	4388
Net Profit	**2239**	**3059**	**5286**	**1818**	**5969**	**10699**
Adjust PAT	**2186**	**2685**	**5275**	**1395**	**5969**	**10699**
Growth (%)	*-4%*	*23%*	*96%*	*-74%*	*328%*	*79%*
APAT Margin (%)	*15%*	*14%*	*23%*	*19%*	*26%*	*30%*
EPS	**55**	**19**	**33**	**11**	**37**	**67**
Growth (%)	*2%*	*-65%*	*73%*	*-66%*	*228%*	*79%*
AEPS	**54**	**17**	**33**	**9**	**37**	**67**
Growth (%)	*1%*	*-69%*	*96%*	*-74%*	*328%*	*79%*

Balance Sheet (Consolidated)						
YE March (Rs. mn)	**FY18**	**FY19**	**FY20**	**FY21E**	**FY22E**	**FY23E**
Liabilities						
Equity Capital	400	1,600	1,600	1,600	1,600	1,600
Reserves & Surplus	9,054	9,070	11,678	13,096	16,797	23,216
Equity	**9,454**	**10,670**	**13,278**	**14,696**	**18,397**	**24,816**
Net Worth	**9,454**	**10,670**	**13,278**	**14,696**	**18,397**	**24,816**
Others	**654**	**520**	**566**	**184**	**565**	**884**
Capital Employed	**10,350**	**11,337**	**14,635**	**15,671**	**19,753**	**26,491**
Assets						
Gross Block	2,946	3,092	3,337	3,487	4,237	4,987
Less: Depreciation	1,390	1,621	1,779	2,156	2,583	3,100
Net Block	**1,556**	**1,471**	**1,559**	**1,332**	**1,654**	**1,888**
Capital WIP	77	404	162	94	291	454
Current Assets						
Inventories	74	79	98	32	84	122
Sundry Debtors	5,509	5,817	7,894	2,570	7,590	11,371
Total Current Assets	**20,239**	**22,587**	**28,580**	**19,334**	**30,758**	**43,424**
Less: Current Liabilities						
Sundry Creditors	1,508	1,909	1,695	701	1,847	2,679
Total Current Liabilities	**12,651**	**14,547**	**17,863**	**6,670**	**15,417**	**22,413**
Capital Applied	**10,350**	**11,337**	**14,635**	**15,671**	**19,753**	**26,491**

Free Cash Flow Statement						
Y/E Mar (Rs mn)	**FY18**	**FY19**	**FY20**	**FY21E**	**FY22E**	**FY23E**
EBITDA	2,911	3,807	7,134	1,690	7,764	13,871
FC Investment	-8	146	245	150	750	750
WC Changes	-952	2,610	-1,113	-368	-867	-614
Depreciation Tax Shield	83	102	116	110	124	150
Tax Expenses	1,195	1,700	2,168	746	2,448	4,388
FCF	856	4,674	3,724	536	3,823	8,269

Cash Flows (Consolidated)						
YE March (Rs. Mn)	**FY18**	**FY19**	**FY20**	**FY21E**	**FY22E**	**FY23E**
PAT	**2,195**	**3,059**	**5,286**	**1,818**	**5,969**	**10,699**
Less: Non Operating Income	(736)	(888)	(781)	(901)	(1,154)	(1,805)
Add: Depreciation	237	286	399	377	428	516
Operating Profit before WC Changes	**1,673**	**2,108**	**4,966**	**944**	**5,315**	**9,483**
(Inc)/Dec in Current Assets	(5,011)	718	(4,410)	10,759	(9,562)	(7,572)
Inc/(Dec) in Current Liabilities	4,068	1,897	3,316	(11,193)	8,747	6,996
Changes in Inventory	(8)	(5)	(19)	66	(52)	(38)
Net Cash Generated From Operations	**721**	**4,718**	**3,853**	**577**	**4,448**	**8,869**
Cash Flow from Investing Activities						
(Inc)/Dec in Fixed Assets	(215)	(200)	(487)	(150)	(750)	(750)
(Inc)/Dec in Capital Work In Progress	92	(327)	242	68	(196)	(164)
Add: Non Operating Income Income	736	888	781	901	1,154	1,805
Net Cash Flow from Investing Activities	**764**	**356**	**(366)**	**818**	**208**	**891**
Cash Flow from Financing Activities						
Dividend Paid	(888)	(1,224)	(2,000)	(400)	(2,268)	(4,279)
Net Cash Flow from Financing Activities	**(1,506)**	**(1,722)**	**(2,049)**	**(433)**	**(1,960)**	**(4,034)**
Net Inc/Dec in cash equivalents	**(20)**	**3,351**	**1,438**	**962**	**2,697**	**5,726**
Opening Balance	**8,530**	**8,339**	**11,400**	**12,964**	**14,543**	**16,353**
Closing Cash and Cash Equivalents	**8,510**	**11,690**	**12,838**	**13,927**	**17,240**	**22,080**

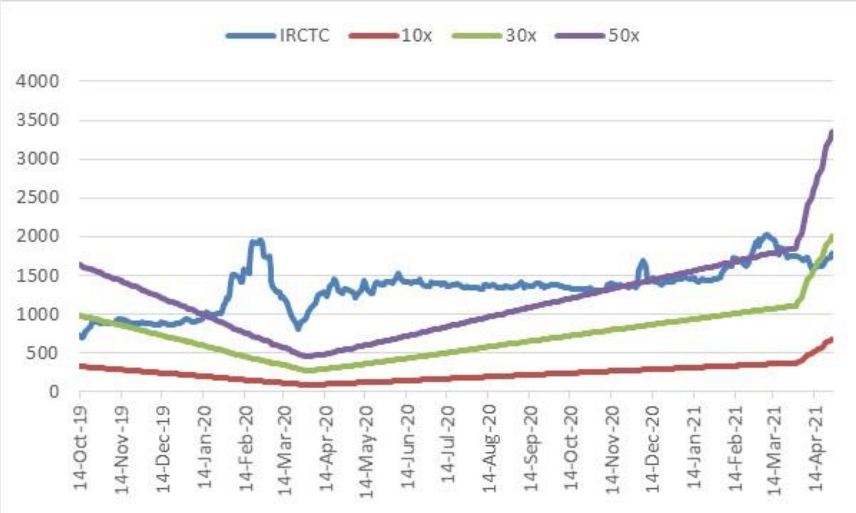
Financial Ratio Analysis						
YE March (Rs. mn)	**FY18**	**FY19**	**FY20**	**FY21E**	**FY22E**	**FY23E**
Profitability Ratios						
ROE (%)	25%	30%	44%	13%	36%	50%
ROCE (%)	26%	31%	46%	8%	37%	50%
ROA (%)	10%	12%	17%	8%	18%	23%
Financial Leverage Ratios						
Debt / Equity (x)	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x
Interest Coverage (x)	99x	162x	98x	23x	107x	191x
Asset Turnover Ratios						
Debtors (Days)	104	111	110	254	80	96
Creditors (Days)	68	65	62	97	52	59
Inventory (Days)	2	2	2	4	1	2
Valuation Ratios						
Book Value (Rs.)	236	67	83	92	115	155
P/E (x)	33	94	54	158	48	27
P/BV (x)	8	27	22	20	16	12
EV/EBITDA (x)	22	72	38	161	35	19
Market Cap. / Sales (x)	5	15	13	38	12	8
Net Cash / Mkt Cap (%)	12%	4%	5%	5%	6%	7%
Dividend Yield (%)	1%	0%	1%	0%	1%	1%
Dividend Per Share	22	8	13	3	14	27
EV	63421	275640	274076	272497	270687	265630
Market Cap	71,760	2,87,040	2,87,040	2,87,040	2,87,040	2,87,040
Net Cash	8369	11425	12967	14546	16356	21412
Net Debt	-8339	-11400	-12964	-14543	-16353	-21410
Dividend Payout Ratio (%)	40%	40%	38%	22%	38%	40%

Source: Dalal & Broacha Research, Company

Key Risks

- In our estimates we have assumed that Travel will bounce back from Q3FY22 onwards (with the current vaccination drive moving rapidly and anticipation of revenge travel in the post covid era) however we are not well-versed with the nature of the Covid-19 virus and cannot estimate the right time for the second wave to subside. This is one of the biggest downsides to travel and IRCTC estimates.
- In 2016, Government had reversed the service charge for the internet ticketing, so any such event recurring in the future can have an impact on the financials of the company.

P/E Band Chart



Source: D&B Research

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services. D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time. SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report-:

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any

copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B . All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read “Risk Disclosure Document for Capital Market and Derivatives Segments” as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	Email	Phone	Sector
Mr. Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022 67141442	Auto | Auto Ancillary | FMCG
Mrs.Charulata Gaidhani	Sr. Analyst	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma | Healthcare
Mr. Mayank Babla	Sr. Analyst	mayank.babla@dalal-broacha.com	022 67141412	IT | Telecom | Media
Mr. Avinash Tanawade	Sr. Analyst	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr. Akshay Ashok	Analyst	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Ms. Timshar Dhamodiwala	Associate	timshar.dhamodiwala@dalal-broacha.com	022 67141441	IT | Telecom | Media

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992, 2287 6173, Fax: 91-22-2287 0092

E-mail: equity.research@dalal-broacha.com